Income

FROM ASSETS

These will be insured when we insure the assets i.e. rental income, interest income, dividend etc.

FROM EFFORT

Insure these income sources i.e. salary, business profits, commission fees and so on

Expenses

Small expenses can be met by emergency fund; large expenses will be covered under liability insurances, hence no insurance needed.

Once we have finished listing down the risks relating to our personal balance sheet, we will add the risks relating to our income and expenses. On the income side, we see there are 2 sources – from our assets such as interest, dividends and rental income and those that come from our efforts such as salary and business profits. So, the first category will be taken care of on its own when we insure our assets.

We need to insure ourselves against events that can deteriorate our effort based incomes like salary. What happens if our salary stops coming in and we no longer can earn the same? In cases where we perhaps lose our jobs or worse comes to worst, due to some accident we end up with some temporary or permanent disability and can no longer continue working.

Such uncontrollable risks that affect our ability to work or perform are the risks we must jot down in the list of risks. Here again, we will not include market-related factors such as not getting our desired jobs, not getting paid as much as we would like and so on.

Lastly, we move to expenses. We will not be including any risk relating to expenses. Why so? This is because if the amount of expenses is small, those will be taken care of from our emergency fund and if the amount is large, it will be treated as an upcoming liability.